3.6.3 Organisational design

Unit 3.6 Human resource management · 8 key points

- **Authority:** the right to make decisions
- **Span of control:** number of people a manager is directly responsible for
- **Levels of hierarchy:** number of layers of management
- **Tall structure:** many levels, narrow spans; slower communication
- **Flat structure:** few levels, wide spans; faster communication, more delegation
- **Delegation:** passing authority down to a subordinate
- **Centralisation:** decisions made at the top
- **Decentralisation:** decisions made lower down or locally